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MGT10009 CONTEMPORARY MANAGEMENT PRINCIPLES

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Chapter 12

Leadership



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Learning Objectives

1. Discuss what it means to be a leader.
2. Summarize what people want and organizations need from their leaders.
3. Explain how a good vision helps you be a better leader.
4. Identify sources of power in organizations.
5. List personal characteristics that contribute to leader effectiveness.
6. Describe behaviors that will make you a better leader and know when situations call for them.
7. Distinguish between charismatic and transformational leadership.
8. Describe types of opportunities to lead.
9. Discover how to further your own leadership development.

What Do We Want from Our Leaders?

- In broad terms:
 - People want help in achieving their goals.
 - Organizations need help in creating and implementing strategic direction.
- The best leaders:
 - Challenge the process.
 - Inspire a shared vision.
 - Enable others to act.
 - Model the way.
 - Encourage the heart.

• SOURCE: Adapted from J. Kouzes and B. Posner, *The Leadership Challenge*, 2nd ed. San Francisco: Jossey-Bass, 1995

Vision

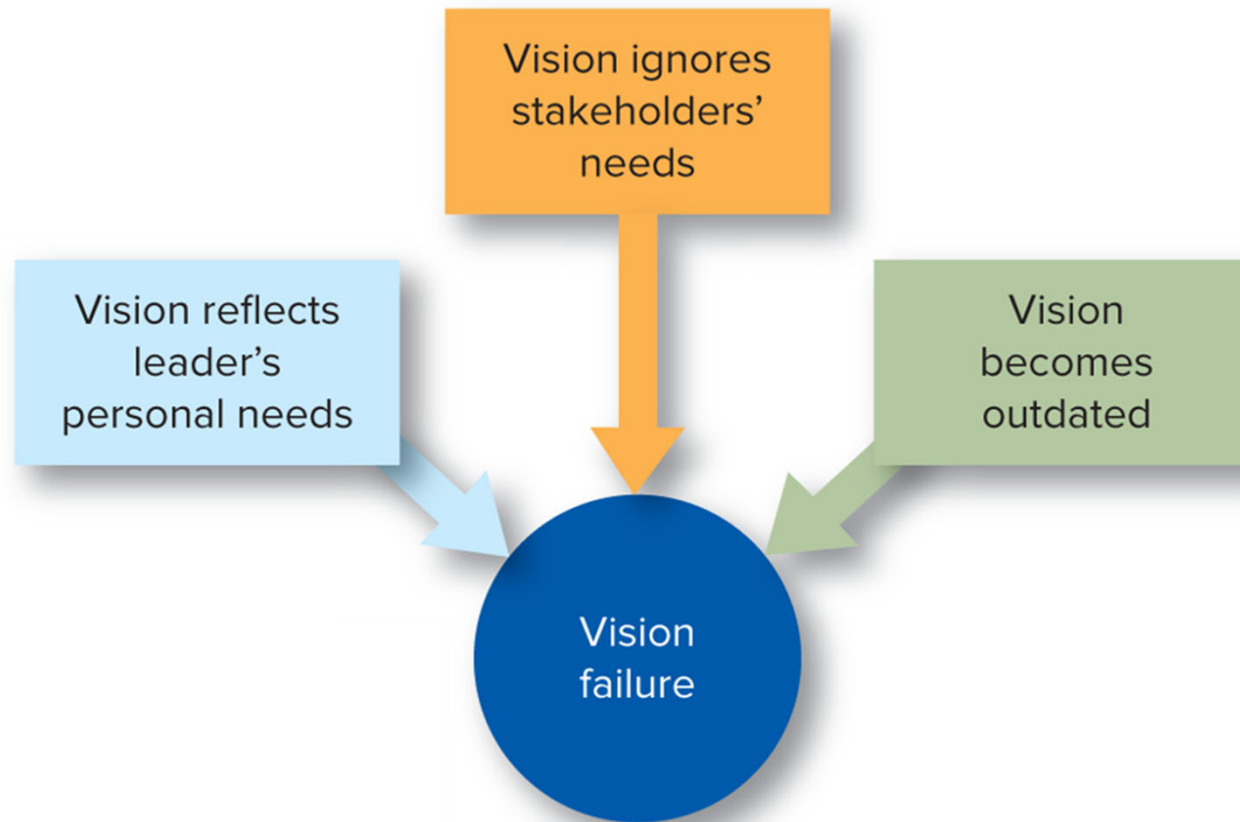
A mental
image of a
possible and
desirable
future state
of the
organization

Necessary for effective leadership.

Can be developed for any job, work unit,
or organization.

People who do not develop a clear
vision focus on performing day-to-day
activities.

Reasons Why Visions Fail



SOURCE: Adapted from J. A. Conger, "The Dark Side of Leadership," *Organizational Dynamics* 19 (Autumn 1990), pp. 44–55.

Management in Action: A Vision for Merck

Kenneth Frazier demonstrated vision transcending the bottom-line in his time as the CEO of Merck & Co., a leading global pharmaceutical company. Many executives make decisions that promote short-term returns for shareholders. Frazier emphasizes long-term progress and impact beyond the bottom line. “While a fundamental responsibility of business leaders is to create value for shareholders, I think businesses also exist to deliver value to society. . . . Our salient purpose in the world is to deliver medically important vaccines and medicines that make a huge difference for humanity.” Frazier relied on two key measures: “How many people do we help? How much help do we give them?”

Leading and Managing

Supervisory leadership:
Behavior that provides guidance, support, and corrective feedback for day-to-day activities.

Strategic leadership:
Behavior that gives purpose and meaning to organizations, envisioning and creating a positive future.

Power and Leadership

Power: the ability to influence others.

- Legitimate: right to tell others what to do.
- Reward: controls with valued rewards.
- Coercive: controls with punishments.
- Referent: compliance based a desire for approval.
- Expert: compliance based on gaining from expertise.

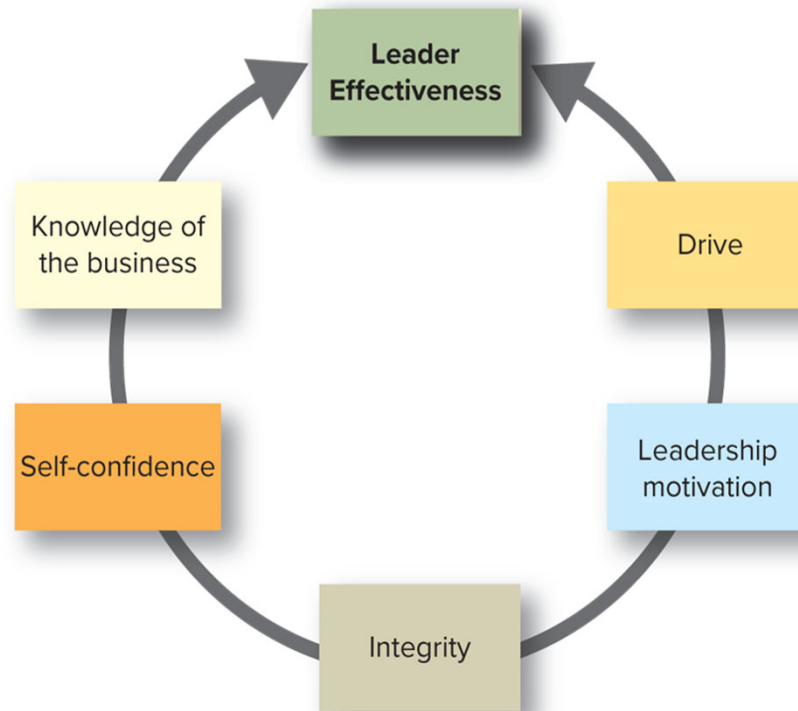
Sources of Leader Power



SOURCE: Adapted from J.R.P French and B. Raven, "The Bases of Social Power," Studies in Social Power, ed D. Cartwright. Ann Arbor, MI: Institute for Social Research, 1959.

Traditional Approaches to Understanding Leadership

Trait approach: a leadership perspective that attempts to determine the personal characteristics that great leaders share.



Personal Attributes That Aid Leader Effectiveness

Leader Behaviors



Behavioral approach: a leadership perspective that attempts to identify what good leaders do - that is, what behaviors they exhibit.



Three general categories of leadership behavior:

Task performance behaviors.
Group maintenance behaviors.
Participation in decision making.

Questions Assessing Task Performance & Group Maintenance Leadership

Task Performance Leadership

Is your superior strict about observing regulations?

To what extent does your superior give you instructions and orders?

Is your superior strict about the amount of work you do?

Does your superior urge you to complete your work by a specified time?

Does your superior try to make you work to your maximum capacity?

When you do an inadequate job, does your superior focus on the inadequate way the job is done?

Does your superior ask you for reports about the progress of your work?

How precisely does your superior work out plans for goal achievement each month?

Group Maintenance Leadership

Can you talk freely with your superior about your work?

Does your superior generally support you?

Is your superior concerned about your personal problems?

Do you think your superior trusts you?

Does your superior give you recognition when you do your job well?

When a problem arises in your workplace, does your superior ask your opinion about how to solve it?

Is your superior concerned about your future benefits, such as promotions and pay raises?

Does your superior treat you fairly?

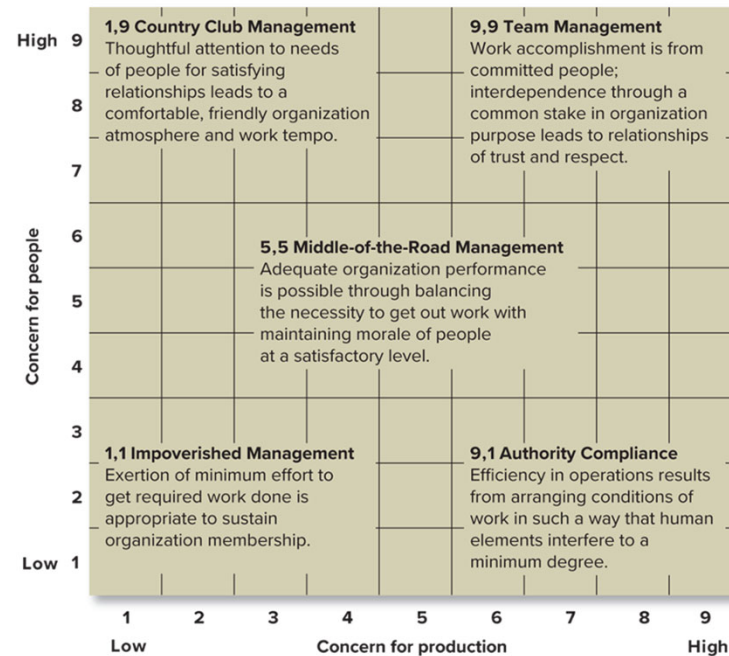
SOURCE: J. Misumi and M. Peterson, "The Performance-Maintenance (PM) Theory of Leadership: Review of a Japanese Research Program," *Administrative Science Quarterly* 30, no. 2 (June 19 85).

Participation in Decision Making

Autocratic leadership: a form of leadership in which the leader makes decisions on his or her own and then announces those decisions to the group.

Democratic leadership: a form of leadership in which the leader solicits input from subordinates.

The Effects of Leader Behaviors



- Laissez-faire: leadership philosophy characterized by an absence of managerial decision making.
- University of Michigan studies:
 - Effective managers have task-oriented behaviors, relationship-oriented behaviors.
 - Blake and Mouton's Leadership Grid.

- The Leadership Grid

Situational Approaches to Leadership

Situational approach: a perspective proposing that universally important traits and behaviors do not exist, and that effective leadership behavior varies from situation to situation.



Nurses experience situational leadership on a daily basis. How would you handle a leadership role under pressure?

monkeybusinessimages/iStock/Getty Images

The Vroom Model of Leadership



Vroom model:

Emphasizes the participative dimension of leadership.

Operates as a decision tree.



Five decision styles:

Decide alone.

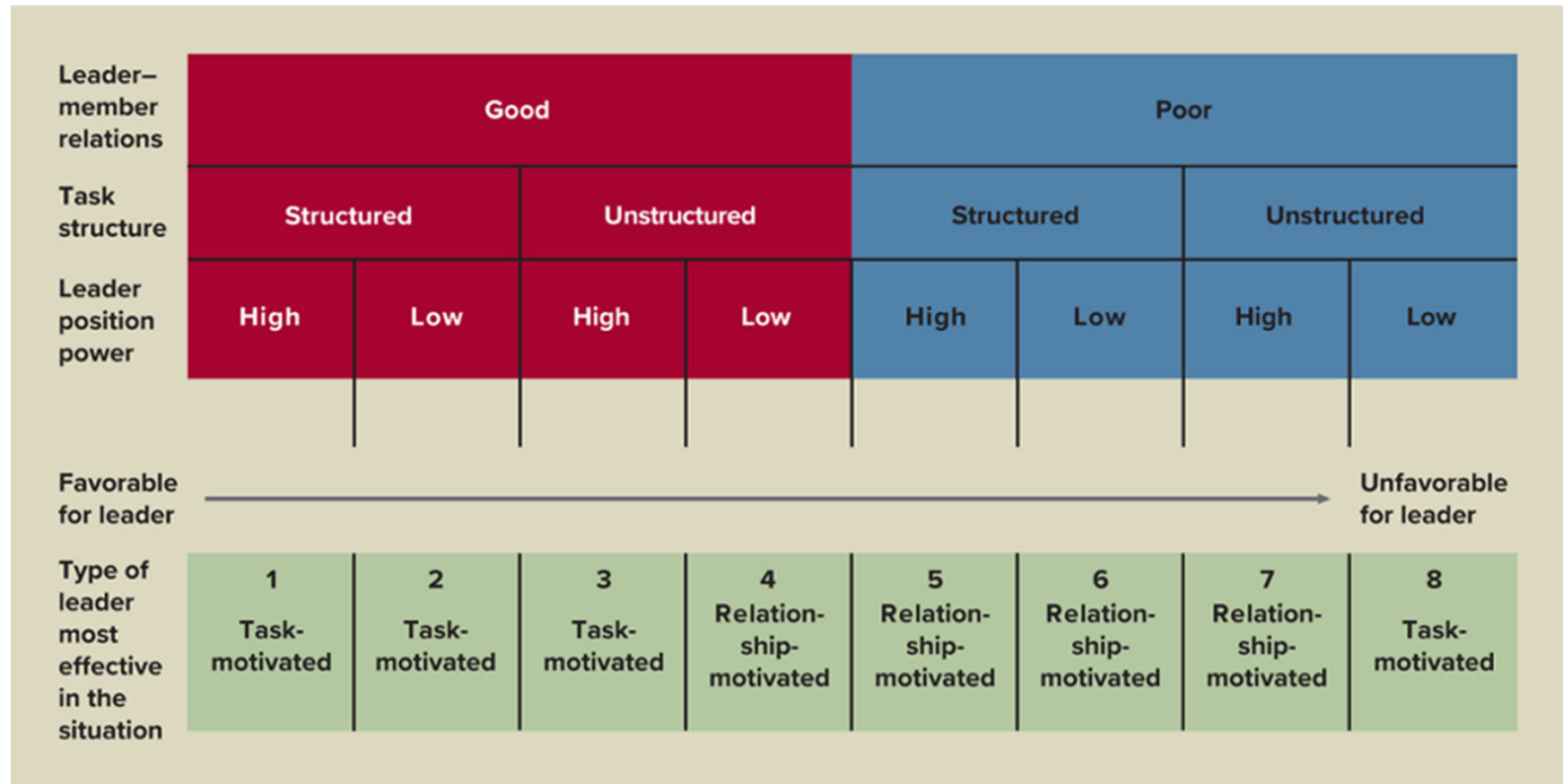
Consult individuals.

Consult multiple group members.

Facilitate a whole-group decision.

Delegate to others.

Fiedler's Analysis of Situations



SOURCE: Dennis Organ and Thomas Bateman, *Organizational Behavior*, 4th ed. New York: McGraw-Hill, 1990.

Path-Goal Theory

- This theory concerns how leaders influence subordinates' perceptions of their work goals and paths they follow toward attainment of those goals.
- Four leadership behaviors:
 - 1) Directive: a form of task performance-oriented behaviour.
 - 2) Supportive: a form of group-maintenance behaviour.
 - 3) Participative: decision style.
 - 4) Achievement-oriented: behaviors geared toward motivating people.



The Path-Goal Framework

Hersey and Blanchard's Situational Theory

Originally called the life-cycle theory of leadership, Hersey and Blanchard's situational theory highlights the maturity of the followers as the key situational factor.

- Job maturity is the level of the follower's skills and technical knowledge relative to the task being performed
- Psychological maturity is the follower's self-confidence and self-respect. High-maturity followers have both the ability and the confidence to do a good job.

Substitutes for Leadership

Factors in the workplace can exert the same influence on employees as leaders would provide.

This can provide useful prescriptions for how to manage more efficiently.

Contemporary Perspectives on Leadership

- 1) Charismatic leader: a person who is dominant, self-confident, convinced of the moral righteousness of his or her beliefs, and able to arouse a sense of excitement and adventure in followers.
- 2) Transactional leaders: leaders who manage through transactions, using their legitimate, reward, and coercive powers to give commands and exchange rewards for services rendered.
- 3) Transformational leaders: leaders who motivate people to transcend their personal interests for the good of the group.
- 4) Pseudo transformational leaders: talk about positive change but allow their self-interests to take precedence over followers' needs.
- 5) Authentic leadership: a style in which the leader is true to himself or herself while leading.
- 6) Level 5 leadership: a combination of strong professional will (determination) and humility that builds enduring greatness.
- 7) Servant leader: serves others' needs while strengthening the organization.
- 8) Responsible leadership: leader focuses on decision-making processes and choices that support corporate social responsibility.
- 9) Lateral leadership: colleagues at the same hierarchical level are invited to collaborate and facilitate joint problem solving.
- 10) Shared leadership: people rotate through the leadership role based on which person has the most relevant skills at a particular time.

SPOTLIGHT ON... Disaster-Resilient Homes

Energized to put her engineering skills to use to reduce the scale of loss from unsafe buildings, Elizabeth Hausler founded the nonprofit Build Change. It marshals the efforts of relief agencies, government, and local architects, engineers, and builders to design and build safe, affordable, and appropriate housing to withstand disasters.

What makes Elizabeth Hausler such an effective leader?

*To what degree is Hausler a servant leader?
A Level 5 leader?*

A Note on Courage

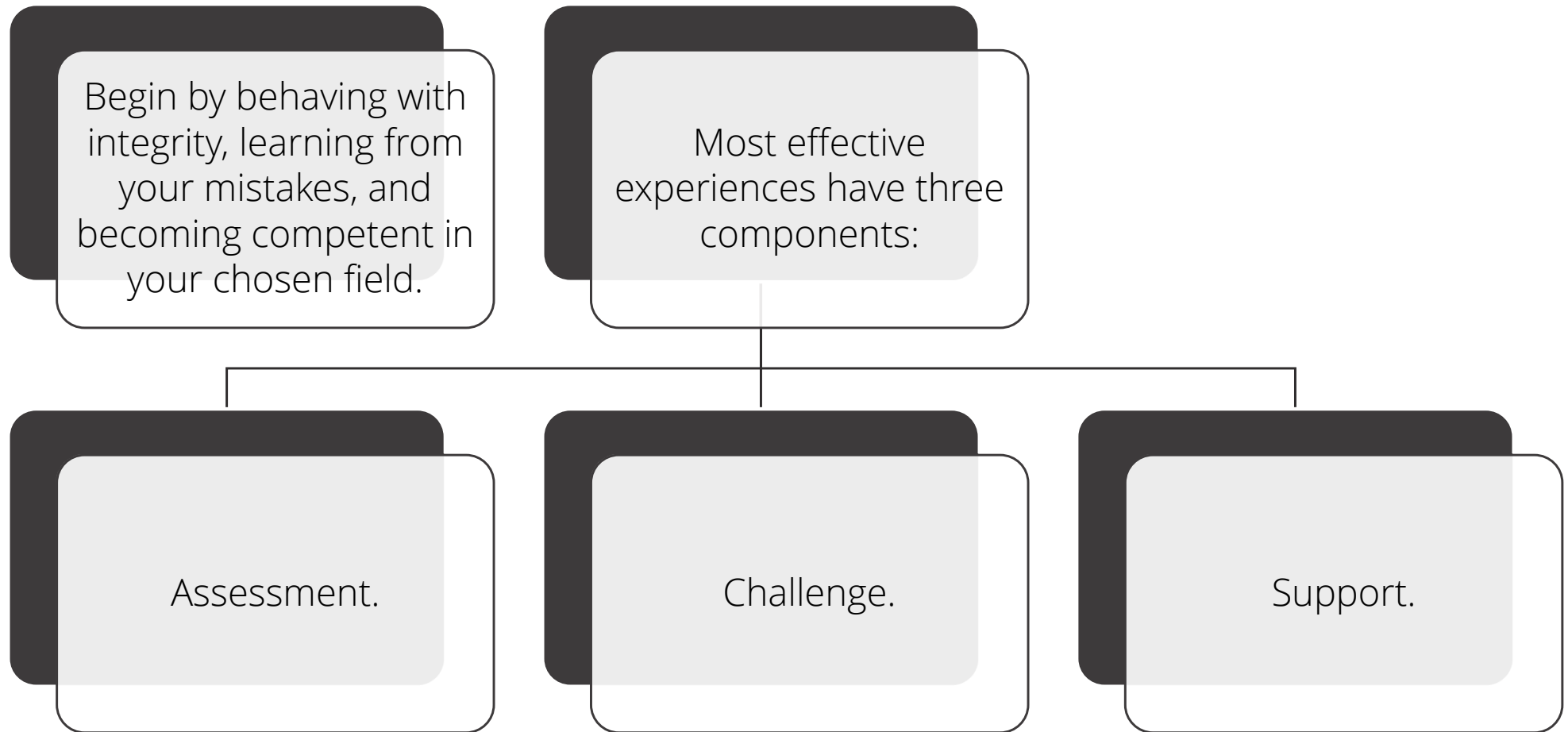
Fulfilling
your
vision
takes
certain
acts of
courage:

See things as they are and
face them head on.

Say what needs to be said to
those who need to hear it.

Persist despite resistance,
criticism, abuse, and setbacks.

Developing Your Leadership Skills



Developmental Experiences

Assignments:

- Building something from nothing.
- Fixing or turning around a failing operation.
- Taking on a project or task force.
- Accepting international assignments.

Other people: exposure to positive role models, visibility to others, working with people of diverse backgrounds.

Hardships: overcoming ideas that fail and deals that collapse, confronting others' performance problems, breaking out of a career rut.

Other events: formal courses, challenging jobs, supervising others.

Seeking Challenge



Challenges expand knowledge and experiences.



Being open to new ideas allows managers to learn, grow, and succeed even though the challenge may be out of their comfort zone.

SPOTLIGHT ON...How Artificial AI Affects Leadership

- Leaders today know the business world is changing constantly and extremely fast paced. AI, for example, is changing the leadership landscape.
 - For example, AI is changing business, including international competitive dynamics. Research predicts that AI will have a \$15.7 billion impact on the economy as early as 2030.
1. *What other ways do you see AI affecting leadership now and perhaps in the future?*
 2. *What other skills do you think will become more important in future leaders, and why?*

In Review

